



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2019

Prepared for:

CITY OF SAN MATEO



By:

ANALYTICS & COMPLIANCE GROUP

A Division of Urban Futures, Inc.

City of San Mateo
Continuing Disclosure Annual Report for the Fiscal Year Ended June 30, 2019

Affected Issuances:

\$31,990,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2011 Series A

\$32,255,000
CITY OF SAN MATEO
Sewer Revenue Bonds
2014 Series A

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INTRODUCTION

I. BACKGROUND

\$31,990,000 Sewer Revenue Bonds 2011 Series A

On May 11, 2011 the City of San Mateo issued its \$31,990,000 Sewer Revenue Bonds 2011 Series A (the “2011A Bonds”). Proceeds from the sale of the 2011A Bonds were used to (a) refund the City’s outstanding (i) Sewer Revenue Refunding Bonds, Series 1996A, (ii) Sewer Revenue Bonds, Series 1998A, and (iii) Sewer Revenue Refunding Bonds, Series 1998B; (b) finance various improvements to the City’s municipal sewer enterprise; (c) make a deposit into a reserve fund for the 2011 Bonds and the 2003 Bonds; and (d) pay a portion of the costs of issuance of the 2011 Bonds. Please see the Official Statement for the 2011A Bonds as provided online at Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture.

Interest on the 2011A Bonds is payable on February 1 and August 1 of each year, commencing August 1, 2011 with principal payments due on August 1.

\$32,255,000 Sewer Revenue Bonds 2014 Series A

On July 2, 2014 the City of San Mateo issued its \$32,255,000 Sewer Revenue Bonds 2014 Series A (the “2014A Bonds”). Proceeds from the sale of the 2014A Bonds were used to (a) refund the City’s outstanding City of San Mateo Sewer Revenue Bonds, Series 2003; (b) finance various improvements to the City’s municipal sewer enterprise; and (c) pay costs of issuance of the 2014 Bonds. Please see the Official Statement for the 2014A Bonds as provided online at Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture.

Interest on the 2014A Bonds is payable on February 1 and August 1 of each year, commencing February 1, 2015 with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance, this Annual Report is being provided by the Dissemination Agent for distribution to the MSRB's EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. at the direction of the City. The information set forth herein has been furnished by the City and/or County, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the City or Urban Futures, Inc. The City and Urban Futures, Inc. make no representation that this Annual Report contains all information material to make a decision to purchase or sell bonds or any other debt obligations of the City. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the City or Urban Futures, Inc., and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The City and Urban Futures, Inc. shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the City or Urban Futures, Inc.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

City of San Mateo Sewer Revenue Bonds 2011 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2011	799016DX5
8/1/2012	799016DY3
8/1/2013	799016DZ0
8/1/2014	799016EA4
8/1/2015	799016EB2
8/1/2016	799016EC0
8/1/2017	799016ED8
8/1/2018	799016EE6
8/1/2019	799016EF3
8/1/2020	799016EG1
8/1/2021	799016EH9
8/1/2022	799016EJ5
8/1/2023	799016EK2
8/1/2024	799016EL0
8/1/2025	799016EM8
8/1/2026	799016EN6
8/1/2031	799016EP1
8/1/2036	799016EQ9
8/1/2041	799016ER7

*CUSIP is a registered trademark of American Bankers Association.

City of San Mateo
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City of San Mateo Sewer Revenue Bonds 2014 Series A	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2018	799016ES5
8/1/2019	799016ET3
8/1/2020	799016EU0
8/1/2021	799016EV8
8/1/2022	799016EW6
8/1/2023	799016EX4
8/1/2024	799016EY2
8/1/2025	799016EZ9
8/1/2026	799016FA3
8/1/2027	799016FB1
8/1/2028	799016FC9
8/1/2029	799016FD7
8/1/2030	799016FE5
8/1/2031	799016FF2
8/1/2032	799016FG0
8/1/2033	799016FH8
8/1/2034	799016FJ4
8/1/2035	799016FK1
8/1/2036	799016FN5
8/1/2039	799016FL9
8/1/2044	799016FM7

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in the Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the Fiscal Year ended June 30, 2019 will be posted to the EMMA document repository upon availability.

II. OUTSTANDING INDEBTEDNESS

The table below presents a summary of the Sewer Enterprise's principal amount of Bonds outstanding as of June 30, 2019. For a detailed description of the Sewer Enterprise's Bonds and any Parity Obligations outstanding, please see the Notes to Basic Financial Statements "8. LONG-TERM DEBT" starting on page 92 of the City's 2018-19 Comprehensive Annual Financial Report.

CITY OF SAN MATEO Sewer Enterprise Principal Amount of Bonds Outstanding as of June 30, 2019	
Bond Issue	Amount Outstanding as of June 30, 2019
\$31,990,000 Sewer Revenue Bonds 2011 Series A	\$21,005,000
\$32,255,000 Sewer Revenue Bonds 2014 Series A	\$31,285,000
\$236,180,000 2019 Wastewater Revenue Bonds (Clean Water Program)	\$236,180,000

Source: City of San Mateo, Comprehensive Annual Financial Report

III. RESERVE FUND

The table below presents the balance in the Bond's Reserve Fund as of June 30, 2019.

CITY OF SAN MATEO Sewer Enterprise Reserve Fund	
Bond Issue	Balance as of 6/30/2019
\$31,990,000 Sewer Revenue Bonds 2011 Series A	\$1,127,518
\$32,255,000 Sewer Revenue Bonds 2014 Series A	No Reserve
\$236,180,000 2019 Wastewater Revenue Bonds (Clean Water Program)	No Reserve

Source: City of San Mateo

IV. AVERAGE FLOW & ACCOUNTS OF THE SUBREGIONAL PARTNERS

The table below presents a summary of the subregional partners average flow and number of accounts during Fiscal Year 2018-19.

CITY OF SAN MATEO Sewer Enterprise Average Flow and Accounts of the Subregional Partners Fiscal Year 2018-19		
	Average Daily Flow (mgd)⁽¹⁾	Customer Accounts/Parcels⁽²⁾
San Mateo	6.6	28,353
Foster City	2.2	7,054
CSCSD	0.2	1,429
Belmont ⁽³⁾	0.0	139
Hillsborough	1.4	2,302
Unincorporated County ⁽⁴⁾	-	-
	<u>10.4</u>	<u>39,277</u>

(1) Represents Fiscal Year 2018-19 Average Daily Flow amounts for San Mateo, Foster City, Hillsborough, and Unincorporated County. Represents Fiscal year estimated Average Daily Flow amounts for CSCSD.

(2) Represents the total number of parcels served by the System for San Mateo, and the total number of customer accounts served by the System for Foster City, CSCSD, Belmont, Hillsborough, and Unincorporated County.

(3) Insignificant average daily flow.

(4) Insignificant

Source: City of San Mateo

V. LARGEST USERS

The table below presents a summary of the City's sewer service charges for the largest users during Fiscal Year 2018-19.

CITY OF SAN MATEO Sewer Enterprise Largest Users Fiscal Year 2018-19				
User	Gallons Billed (in 000)	Percent of Total Billed	Amount Billed (\$)	Percent of Total Billed
Hospitality Investment LLC Lessee	17,316	0.72%	\$452,257	0.97%
Essex Hillsdale Garden Apartments	41,103	1.70%	436,778	0.94%
HSC Holdings	61,959	2.56%	372,601	0.80%
Aimco Scotchollow Apartments L P	9,496	0.39%	288,354	0.62%
Trea 3010 Bridgepointe Parkway LLC	6,539	0.27%	240,422	0.52%
Elder Care Alliance Of San Mateo	6,364	0.26%	238,235	0.51%
TAN CPP-1 Associates LLC	8,135	0.34%	234,083	0.50%
Mills-Peninsula Health Services	11,962	0.49%	226,915	0.49%
INTL Loan & Mortgage Co	7,108	0.29%	225,164	0.48%
Lake Pines LP	8,494	0.35%	223,446	0.48%
Largest Users Total	178,476	7.38%	\$2,938,255	6.30%
Total	2,419,543	100.00%	\$46,606,850	100.00%

Source: City of San Mateo.

VI. STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION

The table below presents a historical summary of the Sewer Enterprise's statement of revenues, expenses and changes in fund net position.

CITY OF SAN MATEO Sewer Enterprise Statement of Revenues, Expenses and Changes in Fund Net Position					
	2014-15	2015-16	2016-17	2017-18	2018-19
Operating Revenues:					
Charges for Service	\$31,582,483	\$30,677,595	\$31,353,084	\$41,289,164	\$51,296,306
Connection fees	343,574	209,306	243,297	184,830	420,362
Impact fees	175,275	445,998	193,656	250,523	256,453
Other	101,236	16,491	-	13,031	4,321
Total operating revenues	\$32,202,568	\$31,349,390	\$31,790,037	\$41,737,548	\$51,977,442
Operating Expenses:					
Cost of Sales and Services	\$18,181,560	\$21,903,752	\$19,168,030	\$19,347,405	\$20,804,894
Administration	1,329,433	1,314,170	2,251,034	2,522,561	2,541,848
Depreciation and amortization	3,297,410	3,632,831	3,641,368	4,147,292	3,987,640
Total operating expenses	\$22,808,403	\$26,850,753	\$25,060,432	\$26,017,258	\$27,334,382
Operating Income (Loss)	\$9,394,165	\$4,498,637	\$6,729,605	\$15,720,290	\$24,643,060
Nonoperating Revenues (Expenses):					
Interest income	\$250,398	\$524,455	\$141,945	\$189,435	\$1,379,769
Gain (loss) on sale of capital assets	-	-	-	-	4,480
Interest expense and fiscal charges	-2,586,384	-2,595,526	-2,590,463	-2,523,881	-3,645,142
Total nonoperating revenues (expenses)	-\$2,335,986	-\$2,071,071	-\$2,448,518	-\$2,334,446	-\$2,260,893
Income (Loss) Before Contributions and Transfers	\$7,058,179	\$2,427,566	\$4,281,087	\$13,385,844	\$22,382,167
Contributions	2,435,074	11,680,626	4,559,627	2,628,892	1,231,712
Transfers in	-	-	-	75,000.00	-
Transfers out	-	-	-	-	-
Total contributions and transfers	\$2,435,074	\$11,680,626	\$4,559,627	\$2,703,892	\$1,231,712
Change in Net Position	\$9,493,253	\$14,108,192	\$8,840,714	\$16,089,736	\$23,613,879
Net Position					
Beginning of Year	\$92,169,725	\$101,662,978	\$115,771,170	\$122,944,951	\$139,034,678
End of Year	\$101,662,978	\$115,771,170	\$124,611,884	\$139,034,687	\$162,648,557

Source: City of San Mateo, Comprehensive Annual Financial Report

VII. DEBT SERVICE COVERAGE

The table below presents a historical summary of the Sewer Enterprise's net revenues and historical debt service coverage ratios.

CITY OF SAN MATEO Sewer Enterprise Historical Revenues, Expenses and Debt Service Coverage					
	2014-15	2015-16	2016-17	2017-18	2018-19
Revenues					
Service Charges	\$31,582,483	\$30,677,595	\$31,353,084	\$41,289,164	\$51,296,306
Connection Fees	343,574	209,306	243,297	184,830	420,362
Impact Fees	175,275	445,998	193,656	250,523	256,453
Other	101,236	16,491	-	13,031	4,321
Subtotal	\$32,202,568	\$31,349,390	\$31,790,037	\$41,737,548	\$51,977,442
Interest Income	250,398	524,455	141,945	189,435	1,379,769
Miscellaneous	-	-	-	-	4,480
Total Revenues	\$32,452,966	\$31,873,845	\$31,931,982	\$41,926,983	\$53,361,691
Expenses					
Cost of Sales and Services	\$18,181,560	\$21,903,752	\$19,168,030	\$19,347,405	\$20,804,894
Administration	1,329,433	1,314,170	2,251,034	2,522,561	2,541,848
Total	\$19,510,993	\$23,217,922	\$21,419,064	\$21,869,966	\$23,346,742
Net Revenues	\$12,941,973	\$8,655,923	\$10,512,918	\$20,057,017	\$30,014,949
Debt Service					
Series 2011A	\$2,760,458	\$2,676,058	\$2,686,433	\$2,682,408	\$1,688,808
Series 2014A	780,479	1,344,365	1,344,365	1,344,365	2,294,965
CSWRCB Loan 25th Ave	-	123,756	-	-	-
State Street Line of Credit	-	-	359,943	364,226	659,320
Series 2019 Financing Agreement	-	-	-	-	-
Total Debt Service	\$3,540,936	\$4,144,179	\$4,390,741	\$4,390,999	\$4,643,093
Debt Service Coverage	3.65	2.09	2.39	4.57	6.46
Net Surplus	\$9,401,037	\$4,511,744	\$6,122,177	\$15,666,018	\$25,371,856

Source: Urban Futures Inc., with information from the City of San Mateo, Comprehensive Annual Financial Report

VIII. LEGISLATIVE, ADMINISTRATIVE, & JUDICIAL CHALLENGES

As of June 30, 2019, there are no significant legislative, administrative, or judicial challenges to the construction or operation of the Sewer Enterprise known to the City.

IX. CLAIM STATUS

As of June 30, 2019, there are no claims against the Sewer Enterprise regarding construction of any projects.

X. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, all material event notices, should they occur, are posted on MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$31,990,000 Sewer Revenue Bonds 2011 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EA341562>

\$32,255,000 Sewer Revenue Bonds 2014 Series A

<https://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP365210>